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Institutional Trust and Subjective Well-Being across the EU

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I. INTRODUCTION

There is now a substantial literature on "happiness". Recent reviews can be found in Frey and Stutzer (2002a and b), Kahneman, Diener and Schwarz (1999) and Layard (2005). Much of the literature has focused on both country and cross section analyses, aimed at establishing the determinants of "happiness". It is an important area of research although perhaps one of which, until recently at least, economists have been somewhat ambivalent about. One of the hypotheses which has emerged from this literature is that institutional and constitutional factors impact upon well-being. Veenhoven (2000) has concluded that economic, but not political, freedom contributes to well-being particularly in poor countries, whilst political well-being contributes to well-being in richer countries. However, such studies have been mainly limited to analyses of direct democracy and federalism and Frey and Stutzer (2002b) call for further research on the potential impact of other institutions. In particular they cite the central bank and the importance of corporatism in policy making. These are both institutions we will be including in our analysis of happiness in the EU countries using Eurobarometer data on both well-being and institutional trust. The central question we seek to resolve is the extent to which trust or distrust in institutions impacts upon well-being and thus whether institutions themselves have such an impact. This need not be a direct impact. For example, people may be altruistically or otherwise concerned with the welfare of others in their or other countries. Hence institutions such as international NGOs or the UN may still impact upon people's welfare, even if they have little direct impact on the individual. The absence of such an impact would be damaging to the hypothesis that the quality of institutions directly impacts upon well-being, rather than indirectly through, e.g. their impact upon living standards.

Dyadic trust is trust in individuals or specifically identified individuals. This is closely linked to social trust, as discussed by Freitag (2003) amongst others, which is a belief that one can trust strangers. (Uslaner 2002). Unlike social trust there has been relatively little work done on the determinants of holistic or

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institutional trust, even to the extent of claims that it is virtually nonexistent (Rousseau et al. 1998). Despite this the view has been expressed that, just as social trust reduces transaction costs and hence engenders economic growth (Putnam 1993), the efficient organization of society itself would be much more difficult without holistic trust (Fukuyama 1995). This is particularly so for democratic societies which depend upon the active participation of citizens in acts such as voting.

This paper attempts to combine these two areas of literature. This will be, as far as we are aware, both the first time the impact institutional trust has on well-being has been analyzed and also one of the first analyses of the determinants of institutional trust itself. In the next section we will review the literature, firstly on happiness and then on trust, which will then form the basis for our own theoretical and empirical analysis. A theoretical analysis of both institutional trust and the nature of its impact on well-being will follow this in section three. We shall then present the data and then the results of the empirical analysis. Again this will be in two stages. Firstly the determinants, including trust of institutions, on well-being and secondly the determinants of institutional trust. It is important to emphasize that, provided institutional trust is endogenous with respect to the performance of the institutions, the existence of a significant linkage between institutional trust and well-being is evidence for the impact of institutions themselves on well-being. The empirical analysis will be based on Eurobarometer data relating to the EU as it was constituted in 2001. After describing this data we present the regression results. Finally we conclude the paper.

II. LITERATURE REVIEW

2.1 Happiness

The basic starting point for many analyses is income. The theoretical expectation is that happiness is an increasing function of income, but with the marginal impact declining with income. This is very similar to the concept of a diminishing marginal utility of income. However, this is an expectation only partially fulfilled. At the aggregate level, amongst countries with per capita income above a certain level there seems little correlation with higher income and average happiness per se (Frey and Stutzer 2002b). There appears to be such a link below 1995 US$10,000, although as Frey and Stutzer point out it is not clear whether this is due to rising income or other facets of a country, such as the rule of law and stable government which tend to increase with income up to a certain level. When we turn to relative incomes within a country there is some evidence that this does impact on happiness, but not that strongly. One reason for the weak impact of income per se is the possible importance of an aspirational level with which people compare their living standard. Increases in aspirations which match increases in income then result in no increase in happiness (Easterlin 2001). Fahey and Smyth (2004) have examined the impact of a different indicator of living standards, namely GDP per capita, on happiness for a range of 33 European countries, finding a nonlinear relationship and suggesting that it peaked at approximately $24,000 at 1997 prices. It is not difficult to understand why this may be so. Higher GDP per capita indicates higher average incomes, higher average standards of living and this affects both private and public good provision.

Linked to relative income is position at work, and there is considerable evidence to suggest that job satisfaction has a significant impact on overall satisfaction (see Warr 1999, for a survey of this literature). There is also evidence that being unemployed reduces happiness, e.g. Di Tella, MacCulloch and Oswald (2001) using Eurobarometer data and also Clark and Oswald (1994). These effects are, of course, in addition to the impact of unemployment on income. The significance of unemployment per se may be explained by a combination of psychic and social costs. The former involves loss of self-esteem and the latter is related to social norms. However, there is another possibility, again related to an aspirational standard of living. Regardless of their income whilst unemployed, it will have fallen compared to what it was when the individual was in work. It will be the latter which will, unless the spell in unemployment is prolonged, influence the individual's lifestyle, and thus given their income whilst unemployed they will be further from their aspirations than others on a similar income who are not unemployed.

Happiness is also found to vary with respect to other socio-economic variables. A U-shaped relationship between age and happiness has been found for many countries and Clark et al. (1996) report it at a minimum for people in their late 30s and early 40s with respect to job satisfaction. Hayo and Seifert (2003) find education to have a positive impact upon happiness in the transition countries of Eastern Europe. There are several reasons why this should be so. Scitovsky (1976), for example, emphasized the importance of education in allowing people to take more advantage of activities which generate happiness, particularly music, painting, literature and history. The evidence on gender differences is somewhat inconclusive and although Di Tella et al. (2001) conclude that females are happier than males, Frey and Stutzer (2002a) find small and declining differences. Marital status may also impact upon life satisfaction and has been included in work by Diener et al. (2000). Married people are happier than both people who never marry and those who are divorced or separated. Frey and Stutzer (2002a) put forward two reasons why this should be the case. Firstly, marriage provides support in dealing with problems and secondly, married people suffer less from loneliness. However to counter the benefits of marriage, divorced people are unhappier than single people.

The literature makes some distinction between factors termed 'life changes' and more stable and unchanging factors. Thus Erhardt, Saris and Veenhoren (2000) in a panel data analysis for Germany show that 30% of the initial variance is explained by life changes and a similar proportion is explained by stable factors such as personal capabilities and social relations. Happiness research has also looked at the impact of constitutional factors upon life satisfaction. We have already referred to Veenhoven's (2000) conclusion that economic, but not political, freedom contributes to well-being particularly in poor countries, whilst political well-being contributes to well-being in richer countries. Frey and Stutzer (2002a) argue that institutions play a fundamental role in determining how society is organized. They show empirically that two institutions crucially effective well-being. Both are political and reflect political participation, via referenda, and political decentralization. Dorn et al. (2005) using cross-national survey data on 28 countries also observe a significant relationship between democracy and happiness.

2.2 Trust

According to Coleman (1990), trust is nothing more or less than the considerations a rational actor applies in deciding to place a bet. As such it is a sub-category of risk and can be calculated using probabilities. Similarly Hardin (1993) argued that the choice between trust and distrust is fully explicable as a product of rational behavior. There is also a game theoretical aspect to it whereby Hardin argues that "I trust you because it is in your interest to do what I trust you to do". This analysis is explicitly directed at dyadic, interpersonal or social trust and is not so relevant for holistic or institutional trust. The individual is not considering whether or not they can trust the EU or the national government to carry out a political act for them over which they have a choice. Instead they are considering the extent they trust the institution to fulfill its role in a satisfactory manner. For example, can the police 'be trusted' to police society in a fair and honest manner, can the radio 'be trusted' to report the news accurately and without bias? In considering this the individual is not weighing up the gains or losses from engaging in an (implicit) contract with the institution, even though their behavior may change depending upon whether the individual does or does not trust the institution. For example, an erosion of trust in civic and political institutions may erode civic duty affecting the degree of co-operation the individual is willing to give to the state in areas such as tax evasion (Orviska and Hudson 2003), voting (Jones and Hudson 2000) or the siting of nuclear power stations (Pommerehne and Frey 1992). In this case it appears likely that the i'th individual will trust the j'th institution provided the perceived probability that they will carry out their remit to a satisfactory degree is not less than some critical level (p^*_{ij}), i.e.:

$$p_{ij} \geq p^*_{ij} \tag{1}$$

This is similar to Mishler and Rose's (2001) definition of institutional trust as the expected utility of institutions performing satisfactorily.

There are two alternative, although probably complementary, explanations for the determination of institutional trust. Cultural theories argue that it is exogenous (Inglehart 1997) and based on dyadic trust. As such it is frequently viewed as being learned early in life. Institutional theories on the other hand argue that it is endogenous (Hetherington 1998, North 1990) and influenced by institutional performance. Newton (1999) also concludes that dyadic and political trust, a component of institutional trust, are conceptually distinct. These two hypotheses have different implications. The first suggests that there should be relatively little difference in the levels of trust in different institutions and it is not obvious why it should vary with factors such as age, marital status or state change variables, although it may be linked to other socio-economic variables such as gender and education which might reflect differences in the socialization process. In addition, to the extent that people do not move geographically and the relative income of the parents is passed to the children then we might also expect income and location to impact upon trust. Trust may also differ from person to person with some people being 'naturally trusting' in both dyadic and holistic contexts, and this results in them tending to trust all institutions more than other people.

There is some empirical work to draw upon; Mishler and Rose (2001) analyze institutional trust in Central and Eastern Europe along several dimensions including parliament, trade unions, the police, the courts and the media. Using regression analysis they analyze trust in institutions as a whole, defined as average trust in six institutions. The results show only a weak significance for socio-economic variables, with trust increasing with age and for smaller towns and villages. Perceptions of factors such as corruption and economic performance are in contrast much more significant. They also find little evidence that dyadic trust impacts on political trust. Brewer et al. (2004) conclude that in the USA international trust or trust in other nations is dependent upon social trust, (domestic) political trust and declines with age. Schweer (1997) focuses on the determinants of young adults' experienced trust towards the central institutions of society and concludes that the perceived attributes of an institution are relevant for the degree of experienced trust. Williams, Brown and Greenberg (1999) analyze trust amongst residents close to a nuclear weapons site in the USA and conclude it is influenced by a variety of factors including personal traits, experiences and economic needs.

III. THEORY

We assume the i'th person's trust in the j'th institution (T_{ij}) to be a function of his/her knowledge of the specific institution. This will be both direct and indirect. Indirect knowledge comes primarily through the media and word of mouth. People read about the institution in the newspaper and hear about it on television. This is likely to be the case with an institution such as the ECB or the UN. It is also likely to be the case with respect to institutions such as the police and the justice system. But in these cases personal, direct experience may also be relevant. Both direct and indirect knowledge may be expected to vary with socio-economic variables. Crucially, we assume in accordance with institutional theories that beliefs about institutions are linked to the 'quality' of the institution (Q_j). Hence:

$$T_{ij} = f(\mathbf{X}_i \, Q_j) \tag{2}$$

It is fairly obvious why the quality of institutions might impact on people's trust in those institutions. A poor quality institution is likely to have both a poor reputation and people's experiences with it will often be unsatisfactory. One can readily think of examples in the EU countries of specific institutions where this is so. But it is less obvious as to why socio-economic characteristics should impact on institutional trust. There are several possibilities. Firstly, direct experience of institutions is likely to vary between people in a systematic manner because people of different backgrounds may have different experiences with institutions such as the police, the law and voluntary organizations. For example, a young man, particularly from a low income family, living in a large city can often be expected to have different interactions with the police than a relatively wealthy, older man or women living in a rural village. In part an institution, such as the police, may itself differ between urban and rural locations and in part the agents of that institution may treat different people in different ways, giving more respect to rich, successful and educated citizens. Similarly with respect to the radio, people from different socio-economic and demographic backgrounds may tend to listen to different radio stations and hence have a different perspective on whether 'the radio' can be trusted. The probability of coming into direct contact with an institution may also vary in a systematic manner. In general, the only time many people come into contact with the police or the law is when they themselves have been the victim of a crime. However, certain experiences do bring people into contact with the law. An obvious example is the process of divorce. Many people emerge from this process unhappy with the settlement and may well blame the law and indeed the government for what they regard as an unfair solution. On the other hand divorce and bereavement may also lead people into contact with voluntary organizations.

This 'direct experience' argument is only valid for certain types of institutions with which the individual may have direct contact, but for the majority of institutions this is not the case. However, even for these we might expect an impact from socio-economic variables on trust. Firstly, those who experience an adverse experience may be expected to put the blame for this on others (see for example, Ruggiero and Major 1998). Thus, if someone loses their job, they may blame, possibly with some justification, the national government or the European Central Bank who determine economic policy. An interesting question, and essentially an empirical one, is whether such experiences lead to a loss of trust only in specific institutions or more generally leads to the individual losing a degree of trust in all institutions. In the empirical work therefore it will be necessary to attempt to separate out the two potential effects on trust.

One can also expect attitudes to institutions to depend upon knowledge of that institution. More knowledgeable people are more likely both to have an opinion and have an opinion which is closer to reality. Hence we would expect their perceptions of institutions to differ from others. There are several possibilities. Firstly, Freitag (2003) links education, as well as income to social trust, in part because it makes people 'more open minded'. Brewer et al. (2004) argue that social trust impacts on political trust. If both of these arguments are true it follows that more educated, and indeed wealthier, people should exhibit greater degrees of institutional trust. This has similarities with Putnam's (2000) observation that in all societies the "have-nots" are less trusting than the "haves" probably because they are treated with less respect. Brewer et al. also argue that with specific reference to international trust, education aligns people with the views of more sophisticated elites. This argument may also be true in other areas of institutional trust. Finally it may simply be that people can only trust what they know and hence greater knowledge enhances trust. The most obvious variable to reflect knowledge is education, but age may also be relevant if people learn from experience. However, age may also reflect other lifestyle differences.

Hence to summarize this part of the analysis, we would expect variables such as urban-rural location, income, education and marital status to affect attitudes to specific institutions with which individuals may come into direct contact such as the law and the police. Specifically we would expect people who live in large cities, the young, the poorly educated and those who are divorced to be less trusting of these institutions. Unemployed people may also blame the institution most readily identifiable as being to blame for their misfortune – arguably the government and the central bank. More generally misfortune may lead to a generalized loss of trust. We would also anticipate that attitudes differ more generally with respect to age.

In terms of the impact of institutional trust upon well-being (H_i) we assume that, in common with the findings of others, this is a function of socio-economic variables such as income, employment status, education and age, for reasons which are well documented in the literature reviewed earlier. Institutional quality, particularly with respect to governmental institutions, may be expected to impact on socio-economic variables such as income, employment status, and even education and marital status and thus it will also impact upon subjective well-being. In addition we also assume a more direct effect:

$$H_j = g(\mathbf{X}_i, \mathbf{Q}) \tag{3}$$

Where $\mathbf{Q}$ is a vector of institutional quality in all institutions. The exact weight given to the j'th institution will depend upon the impact it has on the individual's life. State institutions impact upon the quality of public services and public goods as may NGOs and voluntary organizations. Big business and the unions impact on the quality and availability of private goods. To the extent that the individual is altruistically concerned about the state of the world or the possibility of international conflict, it is quite possible that he/she is affected by the institutional quality of international organizations such as the UN. We have no direct measure of institutional quality, but given (2) it follows that in general there exists a functional relationship linking quality to trust:

$$Q_{ij} = h(T_{ij}, \mathbf{X}_i) \tag{4}$$

If we assume separability, e.g. $f(\mathbf{X}_i\, Q_j) = m(\mathbf{X}_i) + q(Q_j)$ and that q is a bijection with respect to $T_{ij}-m(\mathbf{X}_i)$, then $h(T_{ij}, \mathbf{X}_i)=q^{-1}(T_{ij}-m(\mathbf{X}_i))$. Inserting (4) into (3) gives:

$$H_j = g(\mathbf{X}_i, \textstyle\sum h(T_{ij}, \mathbf{X}_i)) \tag{5}$$

where the summation is across institutions. The important point is that institutional trust, when conditioned by socio-economic variables, is a proxy for institutional quality. Thus happiness can be modeled as a function of socio-economic variables and institutional trust. The hypothesis we are testing is not that happiness is a function of trust, but of institutional quality, and that this is reflected in differing levels of trust.

IV. THE DATA AND MODEL SPECIFICATION

The data are derived from the Eurobarometer survey carried out in April/May 2001 of the EU member countries. The surveys cover the population of the respective nationalities of the European Union member states aged fifteen years and over in each of the member states. It was carried out by INRA (EUROPE), a European Network of market and Public Opinion Research agencies, and GIK Worldwide on request of the European Commission. The basic sample design is a multi-stage, random probability one. The surveys are designed to be representative in terms of the distribution of the resident population of the respective EU nationalities in terms of metropolitan, urban and rural areas. All interviews were face to face, in people's homes and in the appropriate national language.

The dependent variable relating to well-being is based on the responses to a question which asked "On the whole, are you very satisfied, fairly satisfied, not very satisfied or not at all satisfied with the life you lead? Would you say you are....... ?" Possible responses were: (i) very satisfied, (ii) fairly satisfied, (iii) not very satisfied and (iv) not at all satisfied. A fifth possibility was "don't know". The regression analysis excludes the latter and, of course, those who otherwise did not answer the question. The potential problems with this measure including the econometrics problems posed by measurement errors are discussed in Frey and Stutzer (2002a). They conclude that the problems are reduced when they are used to estimate the relative determinants of happiness. The responses are ordinal and ordered probit will be used to estimate the data. This type of question has been used before in empirical work on well-being and happiness and in particular the Eurobarometer series has been used by for example Di Tella, MacCulloch and Oswald (2001) The analysis involves the assumption that we can imply a cardinal interpretation to the subjective, qualitative responses to the question proxying well-being or satisfaction. The data relating to satisfaction is summarized in *Table 1*. It can be seen that there are wide variations between countries with, in general, the richer countries being more satisfied than the poorer ones. Following the literature review and theoretical analysis, the right hand side variables in our regression analysis will include relative income, age, gender and education level, dummy variables for those unemployed and those where the primary earner in the household, if other than the respondent, is unemployed. There will be four dummy variables representing marital state, one each for those who are divorced, separated from a partner who they were not married to, widowed, and for those who are alone and have never lived with a partner or been married. The default case is therefore "married". Absolute income was found by taking the midpoint of the income range as an indicator of the individual's income. Relative income was then the ratio of this to the average. All the variables are defined in an appendix.

We also include data on people's 'trust' in institutions. They relate to both national and international, governmental and non-governmental institutions and are listed in *Table 2*. The basic question on which the data is based is "I would like to ask you a question about how much trust you have in certain institutions. For each of the following institutions would you please tell me if you tend to trust it or not to trust it?" The possible responses were (i) trust in the institution (ii) don't know and (iii) do not trust the institution. *Table 2* reports the proportion trusting the institution where the alternative includes both don't knows and those who do not trust. There is considerable consistency in that both the radio and the police were the most trusted institutions in all but one

Table 1

Country Scores on Happiness

Country	Score	Country	Score
Austria	2.09	Italy	1.92
Belgium	2.06	Luxembourg	2.29
Denmark	2.58	Netherlands	2.42
Finland	2.11	Portugal	1.63
France	1.91	Spain	2.02
Germany	1.90	Sweden	2.37
Greece	1.50	UK	2.20
Ireland	2.22		

Source: Data derived from Eurobarometer Survey in 2001. The 'score' is the mean when the happiness question defined in the appendix is coded zero for not at all satisfied, one for not very satisfied, etc. Hence the higher the score the more satisfied are people on average and a score of 2 corresponds to an average response of 'fairly satisfied'.

country, Germany and Belgium respectively. There are however significant differences between countries, with Denmark, Luxembourg, the Netherlands and Finland emerging as the most trusting countries and Italy and the UK as the least trusting.

A potential problem with much of this research is that of simultaneity. For example are the unemployed unhappy because they are unemployed, or are unhappy people more likely to perform less satisfactorily in the workforce and hence more likely to become unemployed? Frey and Stutzer conclude that the main direction of causality appears to run from unemployment to unhappiness. This conclusion has not, of course, been made with respect to trust in the institutions where relatively little work has been done. Hence for these variables we will tackle the problem of causality in a specific way. The basic problem is that dissatisfied people are likely to be dissatisfied on a range of issues including those of trust and it may be this underlying mistrust, a general mistrust of everything and everyone, which interacts on happiness rather than trust in any one institution per se. Hence trust in the j'th institution by the i'th person (T_{ij}) may be defined as:

$$T_{ij} = \mu_i + \gamma_{ij} \tag{6}$$

where it is possible that underlying trust, μ_i, is simultaneously linked to well-being. γ_{ij} will however be exogenous with respect to well-being and represents the additional trust, which may be negative, the individual has in the j'th institution over and above the average. This has resonance too for the different theories of trust formation outlined above. If holistic trust is learned at an early age or largely determined by dyadic trust then μ_i should be large relative to γ_{ij}, where γ_{ij} more clearly relates to endogenous trust, i.e. trust which responds to the institution's perceived performance. An approximate measure of μ_i can be obtained by taking the average level of mistrust across the m institutions. A

Table 2

Cross-Country Comparisons of Institutional Trust

	UN	ECB	NGOs	LAW	POLICE	UNIONS	Business	Government	RADIO	Voluntary Org.	EU	Average
Belgium	48.55	49.33	47.98	32.76	48.36	42.20	38.34	40.46	72.06	51.45	50.67	47.47
Denmark	70.40	51.40	39.51	75.52	88.93	56.06	53.96	50.93	79.49	59.32	34.38	59.99
Germany	40.45	48.33	29.55	55.02	71.37	38.28	27.91	39.66	64.02	45.17	32.83	44.78
Greece	42.22	43.93	43.08	63.42	62.05	42.74	36.07	37.26	52.48	65.64	55.90	49.53
Spain	57.54	44.39	64.56	41.75	55.61	37.89	36.32	46.32	72.11	65.09	55.44	52.46
France	44.50	44.04	51.22	44.95	58.26	37.31	40.98	36.85	68.20	73.09	43.58	49.36
Ireland	64.47	62.83	54.93	55.59	72.37	51.97	35.53	40.79	77.30	80.59	56.91	59.39
Italy	49.40	48.80	38.35	39.56	64.86	29.52	35.74	32.73	54.62	53.41	55.22	45.66
Luxembourg.	52.51	64.38	57.99	58.45	77.17	51.60	42.92	68.95	73.97	61.19	48.86	59.82
Netherlands	60.13	69.68	50.71	62.71	71.48	48.13	41.42	63.87	80.39	61.16	44.65	59.48
Portugal	57.04	46.65	47.36	36.44	60.21	45.07	42.61	49.47	72.18	61.27	64.26	52.96
UK	54.70	26.67	39.15	50.09	64.96	39.83	28.21	30.77	61.20	69.23	29.40	44.93
Austria	45.20	46.49	43.54	71.40	79.15	38.56	34.69	42.07	73.06	63.84	34.13	52.01
Sweden	71.25	50.06	41.99	61.54	72.38	45.02	35.69	46.03	77.05	50.32	27.62	52.63
Finland	67.64	50.47	39.02	65.42	89.84	57.83	46.03	52.22	74.30	56.19	34.35	57.57
Average	55.07	49.83	45.93	54.31	69.13	44.13	38.43	45.23	70.16	61.13	44.55	

Source: Data derived from Eurobarometer Survey in 2001. The figures denote the proportion (as %'s) trusting the institution in each country where the alternative includes don't knows and those who do not trust the institution.

measure of the impact of γ_{ij} can then be found by dividing T_{ij} by this estimate and utilizing the estimate of $\mu_i = 1/m\Sigma T_{ij}$:

$$\begin{aligned} \text{Relative Trust} &= T_{ij}/(1/m\textstyle\sum T_{ij}) \\ &= (\mu_i + \gamma_{ij})/\mu_i \\ &= 1 + \gamma_{ij}/\mu_i \end{aligned} \tag{7}$$

A value of 1 means that the individual has, for him/her, an average level of trust in this institution. A value greater (less than one) implies greater (less) than average trust. It is a relative measure independent of the extent to which the individual is or is not a trusting individual. As such in a regression analysis it picks up the influence of trust in a specific institution on well-being and only that impact. The individual's general level of trust will be picked up by the constant term and may also be reflected in other socio-economic variables.

V. EMPIRICAL RESULTS

5.1 The Impact of Trust on Well-Being

The result of regressing, using the technique of ordered probit, satisfaction, or well-being, on the explanatory variables are shown in equation (8). Country dummy variables were included in the regression but have not been reported. Before turning to the trust variables we will briefly look at the significance of the other variables. As in other research, marital status is an important determinant of happiness. Our results suggest a relative ranking from those who are divorced to those who are widowed to those who never married or had a partner. Happiness also increases with the level of education, indicating a somewhat neglected value of education, Scitovsky's (1976) joyless economy apart, in enabling people to obtain greater satisfaction from their lives. Geographical location too is a significant determinant of happiness with those who live in villages being happier than others. Happiness tends to increase with income and is less for the unemployed

$$\begin{aligned} \text{SATLIFE} = {} & \underset{(20.01)}{2.367} + \underset{(3.16)}{0.0727}\text{SEX} - \underset{(6.62)}{0.0276}\text{AGE} + \underset{(6.65)}{0.000280}\text{AGE}^2 \\ & - \underset{(2.00)}{0.0769}\text{SINGLE} - \underset{(3.55)}{0.181}\text{SINGLE2} - \underset{(7.32)}{0.314}\text{DIVORCED} \\ & - \underset{(4.63)}{0.214}\text{WIDOWED} + \underset{(4.17)}{0.134}\text{Ln(EDUCATION)} \\ & + \underset{(4.03)}{0.121}\text{VILLAGE} + \underset{(2.05)}{0.0584}\text{TOWN} - \underset{(2.82)}{0.291}\text{FARMER} \\ & - \underset{(8.94)}{0.437}\text{UNEMPLOYED} - \underset{(0.78)}{0.128}\text{HDUNEMPLOYED} \end{aligned}$$

$$+ \underset{(11.05)}{0.259}\mathrm{Ln(INCOME)} + \underset{(3.87)}{0.104}\mathrm{TRGOV} + \underset{(1.00)}{0.0297}\mathrm{TREU}$$

$$+ \underset{(5.62)}{0.140}\mathrm{TRECB} + \underset{(2.45)}{0.0661}\mathrm{TRLAW} + \underset{(4.24)}{0.127}\mathrm{TRPOL}$$

$$+ \underset{(0.26)}{0.0063}\mathrm{TRUNION} + \underset{(2.90)}{0.0738}\mathrm{TRBUS} + \underset{(0.66)}{0.0171}\mathrm{TRRADIO}$$

$$- \underset{(0.32)}{0.0084}\mathrm{TRVOL} + \underset{(0.58)}{0.0156}\mathrm{TRNGOS} + \underset{(2.75)}{0.0774}\mathrm{TRUN}$$

$$\text{Log Like} = -9907.7, \text{ Log Likelihood ratio: } X^2 = 2632.9,$$

$$\text{Number of observations} = 10,505 \tag{8}$$

The trust variables are included as binary variables taking a value of 1 if the individual trusts the institution, with responses related to don't knows and people who do not trust the institution being coded 0. Several are significant, including trust in the national government, the ECB, the police, big business and the UN at the 1% level and in the law at the 5% level. The impacts are such that trust tends to increase happiness. This therefore provides strong evidence that institutions do affect well-being and that the impact varies from person to person. In this regression we use absolute trust, which as we mentioned earlier may suffer from problems of simultaneity. In the following regression we report the results from using relative trust as defined in equation (7)

$$\mathrm{SATLIFE} = \underset{(21.32)}{2.538} + \underset{(3.21)}{0.0736}\mathrm{SEX} - \underset{(7.01)}{0.0290}\mathrm{AGE} + \underset{(7.05)}{0.000295}\mathrm{AGE}^2$$

$$- \underset{(2.14)}{0.0822}\mathrm{SINGLE} - \underset{(3.69)}{0.188}\mathrm{SINGLE2} - \underset{(7.69)}{0.328}\mathrm{DIVORCED}$$

$$- \underset{(4.35)}{0.201}\mathrm{WIDOWED} + \underset{(5.01)}{0.159}\mathrm{Ln(EDUCATION)}$$

$$+ \underset{(4.26)}{0.128}\mathrm{VILLAGE} + \underset{(2.52)}{0.0715}\mathrm{TOWN} - \underset{(2.78)}{0.286}\mathrm{FARMER}$$

$$- \underset{(9.57)}{0.466}\mathrm{UNEMPLOYED} - \underset{(0.75)}{0.122}\mathrm{HDUNEMPLOYED}$$

$$+ \underset{(12.11)}{0.282}\mathrm{Ln(INCOME)} + \underset{(5.23)}{0.0608}\mathrm{TRGOV} + \underset{(2.65)}{0.0340}\mathrm{TREU}$$

$$+ \underset{(4.32)}{0.0389}\mathrm{TRECB} + \underset{(3.17)}{0.0317}\mathrm{TRLAW} + \underset{(1.58)}{0.0124}\mathrm{TRPOL}$$

$$+ \underset{(1.60)}{0.0179}\mathrm{TRBUS} + \underset{(2.71)}{0.0293}\mathrm{TRUN}$$

$$\text{Log Like} = -10017.8, \text{ Log Likelihood ratio: } X^2 = 2412.7,$$

$$\text{Number of observations} = 10,505 \tag{9}$$

Because this is a relative measure, at least one of the trust variables needs to be omitted from the regression. In order for this to be valid, the omitted variable(s) should have no impact on well-being, otherwise their presence in the denominator of the relative trust variables could impact upon the coefficients. We selected unions, voluntary organizations, NGOs and the radio which were the least significant variables in equation (8), all with t statistics less than 1. We chose to remove four variables rather than just the one to reduce problems of multicollinearity. The results are largely similar to before with trust in national government, the ECB, the law, the EU and the UN all being significant at the 1% level. The reduced restricted log likelihood figure in equation (9) compared to (8) possibly reflects the potentially greater impact of absolute trust on well-being, although as we have said this possibly suffers from simultaneity problems.

5.2 The Determinants of Trust

In this section we turn to an analysis of the determinants of trust in the institutions outlined above. The regression results are shown in *Table 3*. Included in the regression, but not reported in the table, were country dummy variables. These were in general significant, with the greatest differences being for the EU, the police, the law and to a lesser extent national governments. It is noticeable that trust for divorcees is significantly less, at the 1% level, in institutions which may impact upon the divorce process, i.e. the law, the police and the national government and at the 5% level of significance for voluntary organizations. This pattern of significance is largely reflected, but at reduced levels of significance and impact, for those who separate after not legally being married. This strongly suggests that trust/distrust is influenced by differing degrees of contact with the specific institution. This may also help explain why people who live in villages and small towns are more trustful of the police than those who live in larger towns and cities. It may also be of course that the police do different types of work in different local settings and this may reflect genuine differences in behavior on their part. Trust in the police is also greater for women than men.

More generally, it is interesting to note that widowers tend to have a greater degree of trust than others across a wide range of institutions. It may be that the reaching out of people who find themselves alone facilitates trust; alternatively the help and sympathy people generally receive following a bereavement may also do this. The impact adverse circumstances can have on trust is also in evidence with respect to the unemployed who tend to have lower levels of trust than others, but again in specific institutions only. Trust rises considerably with both the level of education and relative income. The significance of these variables is in addition to the variable representing retrospective shocks. This is

Table 3

The Socio-Economic Determinants of Institutional Trust

	UN	ECB	NGOs	Law	Police	Unions	Big Companies	Government	Radio	Voluntary Organizations	EU
Constant	−0.0680	1.125**	0.740**	0.460*	0.488*	−0.419**	−0.0393	1.203**	−0.807**	−0.269	0.628**
	(0.52)	(6.46)	(4.29)	(2.47)	(2.42)	(3.29)	(0.31)	(6.54)	(4.12)	(0.21)	(4.92)
SEX	−0.0156	0.0511*	−0.0558*	−0.0287	−0.123**	−0.0852**	−0.0004	−0.0083	−0.0506	−0.113**	−0.0534*
	(0.65)	(2.19)	(2.41)	(1.15)	(4.62)	(3.55)	(0.02)	(0.34)	(1.93)	(4.60)	(2.23)
AGE or Ln(AGE)	0.0158**	−0.114**	−0.0040	−0.0804*	−0.302**	0.0149**	0.0259**	−0.188**	0.129**	0.0181**	0.0206**
	(3.61)	(3.05)	(0.11)	(2.00)	(6.99)	(3.45)	(5.99)	(4.73)	(3.06)	(4.08)	(4.75)
$AGE^2 \times 100$	−0.0181**					−0.0134**	−0.0244**			−0.0190**	−0.0232**
	(4.15)					(3.09)	(5.58)			(4.23)	(5.31)
SINGLE1	−0.0332	−0.0360	−0.0808*	−0.0519	0.0505	0.0443	0.0064	−0.0495	−0.0143	0.0012	−0.0110
	(0.82)	(0.95)	(2.15)	(1.28)	(1.18)	(1.10)	(0.16)	(1.24)	(0.33)	(0.03)	(0.28)
SINGLE2	0.0465	0.0540	−0.0715	0.118*	0.150*	0.0885	0.0301	0.109*	0.0623	−0.0249	−0.0124
(Left partner)	(0.87)	(1.05)	(1.39)	(2.13)	(2.56)	(1.66)	(0.60)	(2.00)	(1.07)	(0.46)	(0.23)
DIVORCED	−0.0447	0.0198	0.0247	0.179**	0.295**	0.0870	0.0021	0.184**	0.0122	0.102*	0.0197
	(0.99)	(0.46)	(0.57)	(3.85)	(6.05)	(1.92)	(0.05)	(3.98)	(0.25)	(2.24)	(0.44)
WIDOW	−0.0529	0.0155	−0.137**	−0.138**	−0.106*	−0.0253	−0.103*	−0.162**	−0.103*	−0.0449	−0.0357
	(1.10)	(0.35)	(3.10)	(2.88)	(1.99)	(0.53)	(2.14)	(3.43)	(2.06)	(0.91)	(0.74)
VILLAGE	0.0022	−0.0263	0.0788**	−0.0069	−0.159**	0.00139	−0.0492	0.0331	−0.0116	−0.0093	0.0758*
	(0.07)	(0.86)	(2.59)	(0.21)	(4.57)	(0.04)	(1.55)	(1.03)	(0.34)	(0.29)	(2.41)
TOWN	−0.0048	−0.0223	−0.0245	−0.0133	−0.177**	−0.0512	−0.0557	0.0050	−0.0272	−0.0496	0.0522
	(0.16)	(0.77)	(0.86)	(0.43)	(5.36)	(1.72)	(1.86)	(0.16)	(0.83)	(1.63)	(1.76)
Ln(EDUCATION)	−0.142**	−0.219**	−0.0937**	−0.179**	−0.112**	0.107**	0.0394	−0.126**	0.0266	−0.124**	−0.193**
	(4.23)	(6.78)	(2.91)	(5.16)	(3.01)	(3.21)	(1.17)	(3.68)	(0.73)	(3.65)	(5.77)
FARMER	0.0207	−0.145	−0.0653	−0.252*	−0.237	0.237*	0.169	−0.119	0.0407	0.0213	0.0526
	(0.19)	(1.33)	(0.62)	(2.13)	(1.81)	(2.18)	(1.51)	(1.06)	(0.35)	(0.19)	(0.48)
UNEMPLOYED	0.0972	0.169**	0.0402	0.186**	0.189**	0.0418	0.090	0.231**	0.148**	−0.231	0.175**
	(1.88)	(3.42)	(0.81)	(3.48)	(3.39)	(0.80)	(1.71)	(4.28)	(2.68)	(0.44)	(3.34)
HDUNEMPLOYED	0.106	−0.223	−0.209	0.176	0.138	−0.0003	−0.0278	0.109	−0.354	−0.176	0.0518
(relates to main earner)	(0.62)	(1.32)	(1.24)	(0.97)	(0.74)	(0.00)	(0.16)	(0.59)	(1.74)	(0.96)	(0.30)
INCOME	−0.108**	−0.177**	−0.0835**	−0.0750**	−0.0473	0.0332	−0.131**	0.003	−0.0638*	−0.0345	−0.0780**
	(4.05)	(7.04)	(3.37)	(2.81)	(1.66)	(1.29)	(5.05)	(0.12)	(2.26)	(1.29)	(2.97)
LIFE IMPROVED	−0.181**	−0.141**	−0.114**	−0.138**	−0.128**	−0.0869**	−0.126**	−0.212**	−0.120**	−0.114**	−0.175**
	(10.19)	(8.23)	(6.78)	(7.47)	(6.56)	(4.90)	(7.07)	(11.65)	(6.30)	(6.31)	(9.83)
Log L	10044	10713	11100	8884	7409	10208	10132	9455	7893	9601	10252
X^2	719.5	602.4	388.2	858.3	938.6	342.9	440.1	572.9	435.4	452.8	921.3

Notes: when age^2 is not reported age represents the log of age. (.) denotes t statistic, **and *denote significance at the 1% and 5% levels, regression estimated by ordered probit, X^2 represents the likelihood ratio statistic, the coefficient on Age^2 has been multiplied by 100. The number of observations in all regressions are 10505. Higher values for "life improved" indicates the individual's current position has worsened over past five years.

significant at the 1% level for all variables and shows that those who have had negative (positive) shocks in the recent past are less (more) trustful in all areas with respect to all institutions. Finally, we turn to age. We include age and age squared where these terms were significant, otherwise we simply report the results of including the log of age. There are significant nonlinearities for trust in the UN, unions, big business, voluntary organizations and the EU. In all cases trust declines and then increases. The turning points are at years 44, 56, 53, 48 and 44 respectively. For most other organizations trust significantly increases with age, apart from the radio where it declines. To an extent this may reflect a Bayesian learning process by which individuals start off with a uniform prior – perhaps informed by characteristics such as education, and as they acquire information over time slowly adjust their beliefs. If so then this would suggest that perceptions of trust become more accurate as people get older, although this does not of course explain the nonlinearities in the impact of age.

VI. CONCLUSIONS

This paper has for the first time, as far as we are aware, analyzed the impact institutional trust has on well-being. In addition we also present one of the first analyses of the determinants of institutional trust. With respect to the former, we present evidence that trust in some institutions impacts positively on people's well-being. The pertinent institutions would appear to be national government, the ECB, the law, the UN and possibly the EU. Three of these are 'political' and, at least for the Eurozone countries, have a significant impact upon macroeconomic policies. Of the other institutions, the law is a reflection of a state agency with which people sometimes come into contact with at critical times in their lives. The fact that these impacts applied to relative, as well as absolute, trust strongly suggests that they are a reflection of the impact of trust in the institution upon the individual's well-being rather than 'distrustful people are unhappy'. The significance of trust in the UN suggests that people are concerned with events outside their own country and indeed outside the EU altogether.

The analysis of trust, suggests that it is not simply ingrained into one's personality at an early age. Firstly state changes such as those relating to marital and employment status have a significant impact upon trust, particularly with respect to the institutions linked to that change (e.g. in the case of divorce, the law and for unemployment the institutions responsible for economic policy). The lower level of trust the unemployed display in the police and the law may reflect their potentially greater involvement in the shadow economy. This suggests that trust in institutions is endogenous to the performance of those institutions. But in addition, our results suggest that any adverse experience results in a generalized loss of trust across all institutions. Secondly, trust varies over a life cycle. In many cases this too may represent the impact of increased knowledge impacting upon trust in a Bayesian manner, although slightly inconsistent with this possibility is the finding that mistrust in several institutions is nonlinear, reaching a peak between the ages of 44 and 56 years. Hence, institutional trust appears to respond to both endogenous influences related to the institution and factors unique to the individual. Finally we note the endogeneity of trust in a different manner, that is with respect to its linkage with education and income. To the extent that educated people are more knowledgeable, this suggests the possibility that mistrust is partially based on ignorance. In addition, it offers a route by which trust can be enhanced.

The fact that trust in different institutions does differ substantially both within a country and between countries is also indicative that trust is endogenous and that it responds to the attributes, possibly with a lag, relating to that institution. If dyadic trust was the sole determinant of holistic or institutional trust then we would expect the latter to be the same for all institutions. The fact that it is not leads us to conclude that there must be some other factors at work unique to the institutions themselves. Overall therefore our results strongly suggest, for several reasons, that trust in institutions is in part determined by the performance of those institutions. If this is accepted, i.e. that trust is partly endogenous, and if we further accept that institutional trust impacts upon well-being, then it also follows that institutional performance impacts upon well-being. Hence overall our results support Frey and Stutzer's (2002a) conclusion that happiness does not solely lie within the realm of the individual, but that institutional performance also has a direct impact upon their subjective well-being.

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APPENDIX: DATA DEFINITIONS

SATLIFE: Responses to a question which asked: “Now lets talk about the quality of life. Please tell me whether you are very satisfied, fairly satisfied, not very satisfied or not at all satisfied with . . . . . your life in general ?” A fifth possibility “don’t know” was excluded from the regression analysis.

Trust Questions: Based primarily on a question which asked: “I would like to ask you a question about how much trust you have in certain institutions. For each of the following institutions would you please tell me if you tend to trust it or not to trust it?” The options included: The Radio (**TRRADIO**), The UN (**TRUN**), Non-Governmental Organizations (**TRNGOS**), Charitable or voluntary organizations, (**TRVOL**), the police (**TRPOL**), the law (**TRLAW**), trade unions (**TRUNIONS**), big companies (**TRBIGCOS**), the (national) government (**TRGOV**) and the European Union (**TREU**). There was also a question which asked: “Do you tend to trust or distrust the European Central Bank?” (**TRECB**). In *Table 3* these were coded as 0 (trust), 1 (do not know) or 3 (do not trust).

LIFE IMPROVED: Those who felt that their current position compared with that five years ago had improved (1), stayed the same (2) or got worse (3).

SEX: male=0, female=1.

AGE: The age, in years, of the respondent.

SINGLE1/SINGLE2/DIVORCED/WIDOWED: binary variables operative for those who were either single, single having previous lived with partner, divorced/separated or widowed. The default case is therefore those who are married or living with partner.

EDUCATION: Age at which the individual finished full time education Coded: 1, if <16 years; 2 if 16–19 years; 3 if >19 years.

VILLAGE/TOWN: binary variables taking a value of one if the individual lived in a village or small/medium town based on individual perceptions.

FARMER: binary variables taking a value of one if the individual was a farmer.

UNEMPLOYED/HDUNEMPLOYED: binary variables taking a value of one if either the individual or the main household earner were unemployed.

INCOME: The ratio of household income to average income in the respondent’s country. The data on income is based on a fifteen point scale and to proxy income the mid point value of the range corresponding to the point on the scale was taken.

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SUMMARY

This paper analyzes the impact of institutions upon happiness through their intermediary impact upon individual trust. The empirical work is based on Eurobarometer data covering the 15 countries of the EU prior to its expansion in 2004. With respect to trust, we present evidence that, although it is endogenous with respect to the performance of the institution, changes in the individual's personal circumstances can also have an impact, indicating that trust is not simply learned at an early age. Hence unemployed people tend to have lower levels of trust not only in the main economic institutions – government and the Central Bank – but in other state institutions too such as the police and the law. Trust also differs in a systematic manner with respect to education and household income, increases (decreases) in either increase (decrease) trust in most institutions. If we assume that more educated people make better judgments, this suggests that on average people tend to have too little trust in institutions. However, it is also possible that both of these variables impact on the interaction between institutions such as the police and other government agencies and the citizen, with prosperous, well educated people being at an advantage and possibly able to command more respect. Age too impacts on institutional trust. For the UN, the unions, big business, voluntary organizations and the EU, trust first declines and then increases with the estimated turning points ranging between 44 and 56 years. For most other organizations trust significantly increases with age. Turning to subjective well-being, we find the standard set of socio-economic variables to be significant. But the focus here is on the impact of institutional trust. We find that trust (mistrust) in the European Central Bank, the EU, national government, the law and the UN all impact positively (negatively) on well-being. Hence overall our results support the conclusion that happiness does not solely lie within the realm of the individual, but that institutional performance also has a direct impact upon subjective well-being.